EXECUTIVE SUMMARY

A. Introduction

The Municipality of Piat was founded on May 1, 1610 and got its name probably from the word "APIYAT" (meaning message) as this was the predominant art of healing during those times and from the native word "PIA", which means goodness, usefulness, good health or pleasant looks. The old name of the town is "PIAS" as the name was engraved in the old bells of Sto. Domingo Church. The town proper is nestled in a plateau about 42 kilometers northeast of the capital town of Cagayan Province – Tuguegarao City. It has a population of 25,405 and based on the statistics of the last election, a total of 15,133 were registered voters.

For CY 2022, the Municipality of Piat had a total of 160 personnel complement, with 93 permanent, 12 elective, 3 co-terminus, 3 casual employees and 49 job order.

The audit covered the accounts and operations of the Municipality of Piat, Cagayan for the year 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality of Piat for the year-ended December 31, 2022, with comparative figures for CY 2021 are as follows:

Financial Position	**2022**	**2021**	**Increase/ (Decrease)**
Total Assets	315,079,984.25	291,021,412.46	24,058,571.79
Total Liabilities	71,576,134.95	75,114,005.69	(3,537,870.74)
Total Government Equity	243,503,849.30	215,907,406.77	27,596,442.53
Financial Performance			
Total Income	172,919,015.89	127,750,197.35	45,168,818.54
Total Expenses	142,898,365.28	120,638,108.05	22,260,257.23
Appropriations, Allotments and Obligations			
Total Appropriations-Current	171,169,041.00	145,373,210.00	25,795,831.00
Total Obligations	140,889,838.94	113,934,492.50	26,955,346.44
Appropriations-Continuing	27,220,410.05	52,337,757.52	(25,117,347.47)
Obligations-Continuing	18,538,328.11	37,844,646.83	(19,306,318.72)

In CY 2022, the Municipality of Piat received funds from other government agencies totaling P810,000.00 and there had been no transferred funds to barangays:

Funds Received from:	2022	2021	Increase/ (Decrease)
National Government Agencies	810,000.00	14,484,114.97	(13,674,114.97)
Local Government Units	-	-	-
Others	-	-	-
Total	**810,000.00**	**14,484,114.97**	

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Piat for the year ended December 31, 2022 because these are materially misstated by an aggregate amount of P27,409,417.30 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Piat disclosed misstatements totaling P27,409,417.30 in absolute value as follows:

Account	Asset	Liability	Revenue/ Expense	Total
Construction in Progress - Buildings & Other Structures	349,486.31			349,486.31
Construction in Progress - Infrastructure Assets	1,949,601.33			1,949,601.33
Grants and Donations in Kind			20,103,060.66	20,103,060.66
Trust Liability - DRRM		5,007,269.00		5,007,269.00
Total				**27,409,417.30**

As a result, the following accounts in the financial statements of the Municipality of Piat were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Buildings		349,486.31	1
Flood Control Systems		1,949,601.33	1
Construction in Progress - Buildings & Other Structures	349,486.31		1
Construction in Progress - Infrastructure Assets	1,949,601.33		1
Drugs and Medicines Expenses	20,103,060.66		3
Donations in Kind	20,103,060.66		3
Trust Liability-DRRM	5,007,269.00		7

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **On-going infrastructure projects with a total contract price of P4,398,468.82 were directly recorded in their appropriate PPE account instead of Construction in Progress account, thereby overstating the affected PPE accounts and understating the Construction in Progress account by the corresponding total disbursements of P2,299,087.64.**

   We recommended that Management require the Municipal Accountant:

   a. Record the on-going projects in the total amount of P2,299,087.64 in the books of accounts to present fairly the Construction in Progress accounts; and

   b. Require the Municipal Accountant and Engineering Office to establish a reporting mechanism on the status of on-going constructions-in-progress and completed projects to prevent delays in recognition of the same to their appropriate accounts.

2. **Various COVID-19 vaccines consisting of 18,094 vials totaling P20,103,060.66, which were received from the Department of Health/Provincial Health Office in CY 2022, were not recognized in the books of the Municipality and the disposition thereof, thus resulting in the understatement of the Grants and Donations in Kind account presented in the financial statements.**

   We recommended that the Municipal Accountant prepare necessary adjusting entries to record the vaccines received and the related distribution to constituents in order to reflect the correct balance of the accounts presented in the financial statements.

   Henceforth, the Municipal Mayor require all departments and offices to coordinate with the Municipal Accounting Office for all donations received for proper recording and accounting thereof in compliance with Paragraphs 96 and 97 of the International Public Sector Accounting Standards (IPSAS) No. 23 and Revised Chart of Accounts.

3. **The Receivables - Disallowance and Charges account amounting to P553,779.12 presented in the financial statements differed from the report of the COA of P1,397,303.29 due to non-submission of settlement and non-maintenance of separate ledgers/records for every disallowance and for each official/employee determined to be liable/responsible, hence understated the account with the discrepancy of P843,524.17.**

We recommended that the Management:

a. Reconcile the discrepancy of P843,524.17 from the reported balance of the account in the financial statements of P553,779.12 against the report maintained by the Team of P1,397,303.29;

b. Submit the documents evidencing the full/partial settlement of some disallowances for proper evaluation and preparation or issuance of NSSDC, if warranted; and

c. Maintain and properly update separate subsidiary ledgers for each disallowance and for each official/employee determined to be liable/responsible for the amount disallowed to properly monitor the outstanding balance of the disallowances in compliance with COA Circular 2009-006 dated September 15, 2009.

4. **Out of the Accounts Payable of P14,786,045.64, P569,052.04 or 3.85% are past due accounts for more than two years and still recorded in the books of accounts as Accounts Payable instead of reverting to the unappropriated surplus of the General Fund, thus affecting the fair presentation of the said account in the financial statements.**

We recommended that the Management instruct the accounting office to settle the amount of P569,052.04, if these are valid claims, if not revert to the unappropriated surplus of the General Fund pursuant to Section 98 of the PD No. 1445 to ensure fair presentation of the Accounts Payable account in the Financial Statements.

5. **The GSO was not able to conduct physical count of property, plant and equipment due to failure to create an Inventory Committee, hence the Report on the Physical Count of Property, Plant and Equipment was not prepared thereby rendering the accuracy of the PPE accounts totalling to P165,531,940.86 unreliable.**

We recommended that the Management immediately create an Inventory Committee and speed up the conduct of physical inventory of all PPEs of the Municipality in order to finalize the preparation of the RPCPPE pursuant to Section 66 of the Manual on the New Government Accounting System and COA Circular 2020-006 dated January 31, 2020.

6. **The Municipality was not able to fully utilize the Mitigation Fund for CY 2022 of P5,796,720.00 for COVID-19 pandemic response and other disaster-related Program, Projects, and Activities wherein only 2,839,853.09 or 48.99% was utilized leaving an unexpended balance of P2,956,866.91 or 51.01% as of December 31, 2022, due to non-implementation and partial implementation of various Disaster Risk Reduction and Management related projects, thereby depriving the beneficiaries of the Municipality from providing efficient and effective disaster risk mitigation and response.**

We recommended that the Management direct the LDRRM Office to expedite the implementation of the Programs, Projects, and Activities of the Municipality to optimize the utilization of disaster risk reduction and management fund intended for disaster risk mitigation.

7. **Six (6) infrastructure projects funded out of the 20% Development Fund - current appropriation with a total appropriation of P7,023,413.00 were not yet started/implemented, thus the socio-economic benefits that could have derived from development projects were not fully delivered to constituents as conceptualized under DILG and DBM Joint Memorandum No. 2017-1 dated February 27, 2017 were not fully attained.**

We recommended that the Management speed up the implementation of the six (6) infrastructure projects in the total amount of P7,023,413.00 funded out of the 20% DF as per Annual Investment Plan and that closer coordination among the officials involved in planning, execution and monitoring be undertaken to achieve the desired level of outcomes.

E. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2022, the Municipality of Piat, Cagayan has unsettled disallowances totaling to P1,397,303.29. There were no issued Notices of Suspension, Notices of Disallowance and Notices of Charge for the year. The details of unsettled disallowances are as follows:

Date	ND No.	PAYEE/PAYOR	Outstanding Balance as of 12/31/2021
02/06/2014	ND No. 2014-101-001 (2013)	Various	122,800.00
02/06/2014	ND No. 2014-101-002 (2013)	Various	422,000.00
27/08/2015	ND No. 2015-101-001 (2014)	Various	53,440.79
28/09/2016	ND No. 2016-101-001(2013)	various	299,062.50
19/03/2018	ND No. 2018-101-001-(2013)/(2016)	Ms. Josefina B. Mamba and VM Leonel C. Guzman	500,000.00
TOTAL			**1,397,303.29**

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		8
Not Implemented	6	
Not Implemented and Reiterated in CY 2021 AAR	5	11
Total		**19**